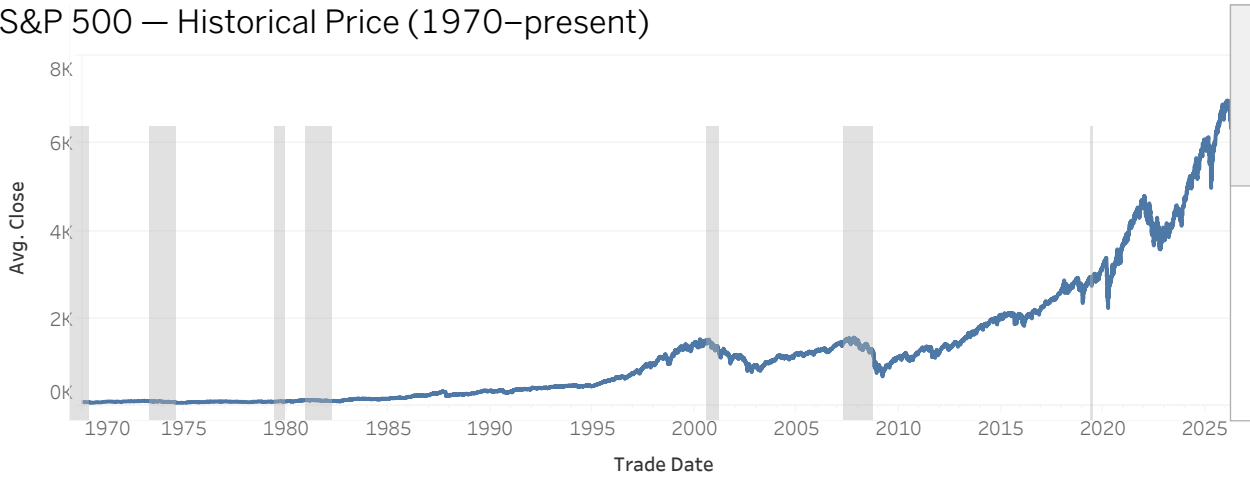
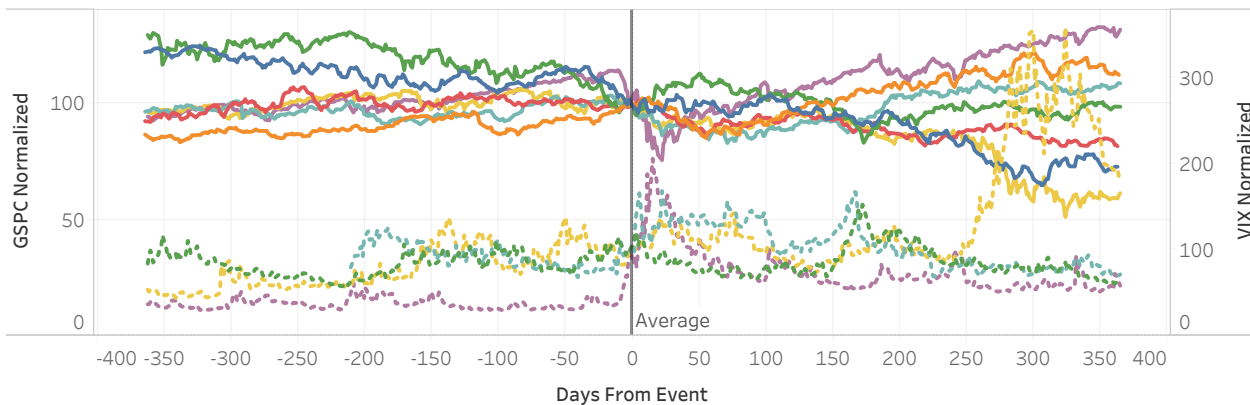


S&P 500 — Historical Price (1970–present)



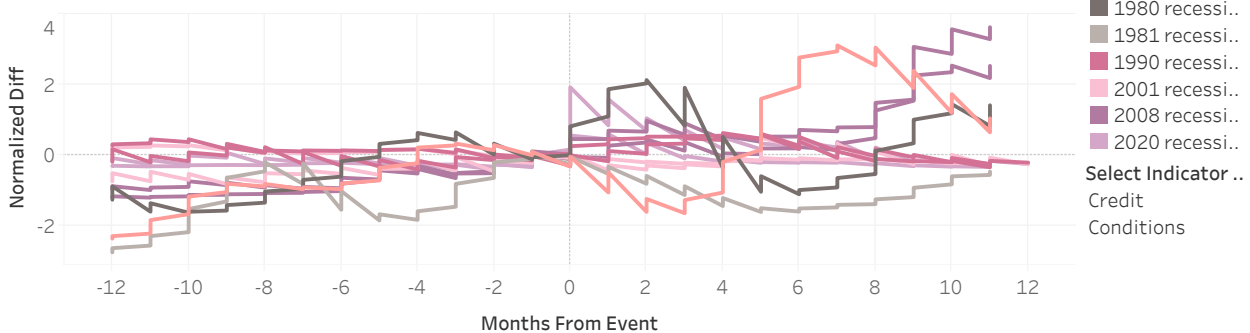
The S&P 500 has experienced 7 major recessions since 1970, with drawdowns visible as shaded periods above. The chart below zooms into these episodes individually, aligning each recession to its start date ($t=0$) to compare how the market and volatility (VIX) behaved before and after the onset. For a lender or insurer, recession timing itself is less useful than understanding what typically follows — explored below.

GSPC vs VIX — Combined Event Study



Market reactions to recessions vary sharply in speed and depth. 2020 (COVID) triggered the fastest, sharpest shock — VIX spiked and GSPC bottomed within weeks, then recovered quickly (V-shaped). 2008 was slower and more sustained — GSPC declined gradually over more than a year, while VIX rose in stages rather than a single spike, reflecting prolonged, structural financial stress rather than a single panic event. For banking and insurance, this suggests scenario planning should differ by recession type — fast shocks call for short-term liquidity readiness, while prolonged downturns require sustained credit risk and claims monitoring.

Credit Conditions Around Recession Start ($t=0$)



Select a group above to explore how that category of indicators behaved around each recession's start. Patterns vary widely: labor market claims (ICSA) show an extreme, isolated spike during the 2020 shock, while housing and sentiment indicators tend to shift more gradually. Because these indicators differ enormously in scale and units, each group uses its own independent axis — values shown are the difference from each indicator's level at $t=0$, not raw units.